capital expenditure on making investments in producing private goods and services and revenue expenditure on subsidizing these products and services.

Governments get some revenues in the form of dividends and other pay-outs from investments made in the public sector. Sometimes, they also get capital payments by disposing of these public-sector undertakings and capital works. All these expenditures net of non-tax revenues and capital receipts constitute the expenditure of governments.

Net government expenditure minus tax revenues results in fiscal deficit. This fiscal deficit is met by raising borrowings. This is net fiscal deficit or fiscal deficit as commonly understood. Governments also incur expenditure every year in repaying old borrowings/debt.

The borrowings raised to fund the fiscal deficit and the borrowings raised to repay old debt together are described as gross borrowings. While gross borrowings would be higher than the fiscal deficit, net new borrowings equal fiscal deficits.

Occasionally, governments use sharp practices to understate fiscal deficit. Expenditure on providing equity to banks by issuing recapitalization bonds is one such practice. The equity is funded by the banks subscribing to the bonds issued by the governments. The whole transaction is accounted as one transaction with zero expenditure by reducing the bond amount received from the equity expenditure. This results in artificially suppressing fiscal expenditure. In such a case, while the borrowings received from the bonds issued may be counted for the purpose of public debt, the same is not shown as part of the fiscal deficit.

Debt is Serviced by Future Taxpayers

Borrowings raised by governments become their debt, which is serviced and repaid by future revenues and borrowings. In essence, borrowings represent the shortfall between government expenditures and revenues in